

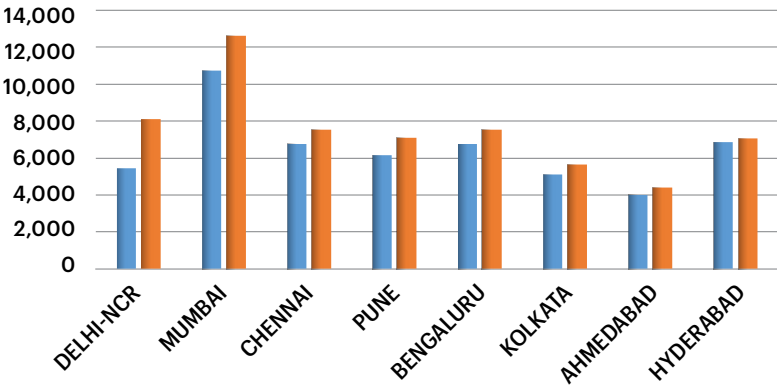


“While the festive period saw a sequential increase in sales, there was a YoY decline in sales and launches”

DHRUV AGARWALA
GROUP CEO, HOUSING.
COM/PROPTIGER.COM

STEEP HIKES

• In Q4 2024, the average price per sq ft jumped as much as 49% in NCR and 10-18% in most other cities



AVERAGE RATES IN ₹ PER SQUARE FOOT

■ Q4 2024 ■ Q4 2025

SOURCE PROPTIGER

pared with a 9% slide in home sales to 411,022 units.

Pradeep Aggarwal, founder and chairman of property developer Signature Global (India) Ltd, says the downtrend in 2024 was primarily “due to global economic uncertainties and inflationary pressures.”

Aggarwal, who has of late shifted focus to premium housing from his initial forte of affordable homes, says the current trends may drive consolidation in the real estate market.

To be sure, home loans have grown, led by high-income borrowers. Data released by the National Housing Bank shows that total outstanding home loans grew to ₹35.5 lakh crore by end-February from ₹31.87 lakh crore in March 2024

DISTANT RECOVERY?

Even so, a recovery looks distant. Research by Anarock Property Consultants shows that in January-March, the decline in home sales gained pace and net absorption plunged 28% YoY to 93,280 units. New launches declined 10% YoY to 100,020 units in the country’s top real estate markets.

Hyderabad, which grew by leaps and bounds during the post-pandemic years, reported a 49% decline in sales in the first quarter. Mumbai (-26%), Delhi-NCR (-20%), Pune (-30%), Bengaluru (-16%), Kolkata (-31%) and Chennai (-26%) also posted significant declines.

The two key property markets in Maharashtra—Mumbai and Pune—accounted for 51% of the overall home sales in India. Mum-

bai and Bengaluru accounted for around 52% new launches.

Industry experts and developers are blaming a steep increase in home prices over the past several quarters, apart from the economic uncertainties, for the downtrend.

According to Anarock, average residential property prices across top cities rose 10-34% in the first quarter of this year from the same period last year.

LUXURY BUCKS THE TREND

The increase came on top of a massive jump in average per square-foot price rise of 10-49% YoY in Q4 of 2024. According to analysts, this was primarily due to a steep rise in new supply in premium and luxury segment in the first quarter. Delhi-